J.P.Morgan

North America Equity Research
12 August 2026

Lumentum

F4Q26 Review: Executing Ahead of Plan With Incremental Opportunities Layering On; Reit. OW

Overweight

LITE, LITE US
Price (11 Aug 26):$820.59

▲**Price Target (Dec-27):$1,280.00**
Prior (Dec-27):$1,165.00

IT Hardware/ Telecom & Networking Equipment

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Lumentum not only sidestepped near-term concerns around the increasing mix of TRx, delivering strong revenue and margin results for F4Q26 and likewise upbeat guidance for F1Q27, but also debunked medium- to longer-term concerns around CPO and NPO, noting that CPO production plans remain on track, with an increased demand signal, while NPO is additive to the TAM, with the opportunity poised to begin ramping in late 2027 for scale-up applications. Importantly, NPO was not the only incremental opportunity highlighted as Lumentum also pointed to several others that are largely absent from, or only lightly embedded in, the current framework, including: 1) Merchant CW lasers, which is expected to represent a meaningful portion of datacom chip revenue in coming quarters without disrupting the EML capacity expansion trajectory, while carrying accretive margins; 2) ELS, with the first order secured for delivery in calendar 2H27 at above-corporate margins, positioning the company well for future customer engagements; 3) In-tray OCS use cases, expected to materialize in the 2028 timeframe; and 4) Pump lasers, where shipments expanded 80%+ y/y in F4Q and the company has signed multiple three-year LTAs with embedded price levers, supporting expectations for a 4x increase in shipments over the next several quarters. Taken together, Lumentum is not only executing ahead of the plan tied to the opportunities discussed just a few months ago and embedded in target ranges, but is also outlining sizable incremental opportunities beyond that framework, driving increased conviction in its ability to deliver upside to the out-year targets, such that management is already expecting the out-year operating-margin target to track closer to 40%-44% (*vs. 38%-42% prior*). Management also pushed back on broad competitive concerns, noting it has seen no impact from newly announced Chinese InP capacity, given its differentiation in EMLs, high-/mid-power lasers, and even CW lasers (*where it is pricing up on superior yields*), while cautioning that several of those Chinese suppliers are not yet delivering into the market. To that end, we are raising our revenue and earnings estimates on the much better results and guidance, and likewise our price target, which increases to $1,280 (vs. $1,165 prior) and reiterate our OW-rating as we continue to see Lumentum well positioned to drive upside, given the demand momentum across the existing portfolio and the incremental opportunities on the horizon, both of which in aggregate are driving improved margins for the company.

- **F4Q26 (Jun-end) Results: EPS beat driven by revenue beat combined with operating leverage.** Revenue tracked to $1,006 mn vs. consensus of $990 mn, JPMe of $992 mn, and guidance of $960-$1,010 mn, implying a y/y growth of +109%, led by +103% y/y growth in Components, along with +123% y/y growth in Systems. Meanwhile, gross margins tracked to 50.4% (vs. consensus of 48.8% and JPMe of 49.7%), which was primarily driven by mix given strength in high margin products sold into scale-across use cases as well as robust demand in scale-out. Operating margins tracked to 36.6% (vs. consensus of 35.5%, JPMe of 36.7%, and guidance of 35% to 36%), which led to an EPS beat of $3.23 vs. consensus of $2.97 and JPMe of $3.08, and guidance of $2.85 to $3.05.
- **F1Q27 (Sep-end) Guidance: Earnings outlook tracks well ahead of expectations, led by materially higher revenue.** Revenue is guided in the

Key Changes (FYE Jun)

	Prev	Cur	Δ
Adj. EPS - 27E ($)	20.20	22.75	12.6%
Adj. EPS - 28E ($)	33.00	37.00	12.1%

Quarterly Forecasts (FYE Jun)

Adj. EPS ($)

	2026A	2027E	2028E
Q1	1.10	4.27	7.92
Q2	1.67	5.27	8.81
Q3	2.37	6.15	9.71
Q4	3.23	7.05	10.55
FY	8.68	22.75	37.00

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	87	86	59	20	21
Growth	34	71	81	74	37
Momentum	6	3	17	92	91
Quality	43	28	83	56	20
Low Vol	83	80	72	34	44
ESGQ	11	16	11	9	-

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 7 for analyst certification and important disclosures.

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Price Performance

	YTD	1m	3m	12m
Abs	122.6%	2.3%	-22.1%	613.4%
Rel	100.6%	0.7%	-27.5%	576.8%

Company Data

Shares O/S (mn)	101
52-week range ($)	1,085.68-111.20
Market cap ($ mn)	82,961.65
Exchange rate	1.00
Free float (%)	99.0%
3M ADV (mn)	5.37
3M ADV ($ mn)	4,574.9
Volatility (90 Day)	97
Index	RUSSELL 2000
BBG ANR (Buy | Hold | Sell)	27|4|0

Key Metrics (FYE Jun)

$ in millions	**FY26A**	**FY27E**	**FY28E**	**FY29E**
Financial Estimates				
Revenue	3,014	6,360	9,774	12,604
Adj. EBIT	897	2,718	4,547	6,087
Adj. EBITDA	1,025	2,973	4,938	6,591
Adj. net income	782	2,320	3,818	5,099
Adj. EPS	8.68	22.75	37.00	48.70
BBG EPS	8.18	18.50	29.78	-
Cashflow from operations	(19)	1,689	3,635	5,046
FCFF	(431)	1,241	3,079	4,343
Margins and Growth				
Revenue Growth Y/Y (%)	83.2%	111.0%	53.7%	28.9%
EBIT margin	29.8%	42.7%	46.5%	48.3%
EBIT Growth Y/Y (%)	460.3%	203.1%	67.3%	33.9%
EBITDA margin	34.0%	46.7%	50.5%	52.3%
EBITDA Growth Y/Y (%)	287.8%	189.9%	66.1%	33.5%
Net margin	26.0%	36.5%	39.1%	40.5%
Adj. EPS growth	322.1%	162.2%	62.7%	31.6%
Ratios				
Adj. tax rate	16.5%	17.1%	17.5%	17.3%
Interest cover	-	-	-	-
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	27.1%	40.0%	43.0%	38.2%
Valuation				
FCFF yield	(0.6%)	1.5%	3.6%	5.1%
Dividend yield	-	-	-	-
EV/Revenue	27.5	13.0	8.5	6.6
EV/EBITDA	80.9	27.9	16.8	12.6
Adj. P/E	94.6	36.1	22.2	16.8

Summary Investment Thesis and Valuation

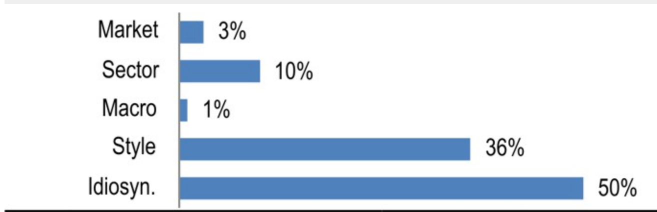
Investment Thesis

Increased exposure to the Datacom segment, which is facing AI-led growth in demand, via the recent acquisition of Cloud Light, positions LITE shares as a potential pick to play the AI theme. Additionally, with the headwinds including share loss in 3D Sensing as well as inventory rationalization from Telecom and Datacom customers well baked into estimates, and the shares trading inexpensive based on our CY28 estimates, which is essentially below the long-term historical multiple, we rate LITE shares Overweight.

Valuation

We are increasing our December 2027 price target to $1,280 (vs. $1,165 prior) based on valuing our CY28E EPS estimate at a ~30x P/E target multiple. The multiple is ahead of the average historical multiple at which the company has traded, and we believe it is justified given benefits from demand relative to AI investments.

Performance Drivers



Factors	**6M Corr**	**1Y Corr**
Market: MSCI US	0.08	0.18
Sect: Technology	-0.35	-0.32
Ind: Tech Hard Equip	0.51	0.31
Macro:		
Non-Energy Commodity	-0.31	-0.13
US 10yr yield	0.01	-0.09
Economic Surprise	0.02	-0.07
Quant Styles:		
Momentum	0.41	0.40
Growth	-0.53	-0.35
Size	0.36	0.24

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

range of $1,225 mn-$1,275 mn (vs. JPM of $1,182 mn and consensus of $1,151 mn), supported by strength in both lasers (*scale out and scale across applications*) and systems (*1.6T transceivers and accelerating OCS deliveries*). Operating margins are guided to the range of 39.5% to 40.5% (vs. JPM of 39.3% and consensus of 37.6%) and earnings are guided in the range of $4.05 to $4.35 (vs. JPM of $3.85 and consensus of $3.58).

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Lumentum *(Overweight; Price Target: $1,280.00)*

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LITE P/E-Based Price Target Analysis

$ in mns, except per share amounts

	NTM	CY28
JPM Net Income	**2,320**	**4,511**
JPM EPS	$22.75	$43.38
P/E Multiple	36x	
JPM P/E Multiple		30x
Implied Equity Value	**82,962**	**133,075**
Average Diluted Share Count	101	104
Implied Share Price	**$821**	**$1,280**
Current Value per Share	$820.59	$820.59
Upside vs. Current		56%
Memo:		
(-) Net Cash/(Debt)	1,101	7,348
Enterprise Value	81,861	125,728
JPM EBITDA	2973	5,834
Implied EV/EBITDA	*27.5x*	*21.6x*

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Industry Downside Risks

Pricing pressure in the industry could accelerate. The optical industry faces significant pricing pressure on an annual basis, particularly as technologies mature. Optical component companies look to offset the pricing pressures through reduction in costs and through stronger pricing on the next-generation technology offered to customers. Acceleration in pricing pressure could drive downside to our earnings forecasts for optical component companies, including Lumentum.

Vertical integration by the optical system suppliers could drive greater competitive risk for Lumentum. Optical transport system suppliers, including Ciena and Cisco, use optical component suppliers for the photonics component of the optical transponder. While

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the optical component suppliers are critical to the optical transport system suppliers, we believe Lumentum's customers could look to vertically integrate in the future to drive additional pricing pressure on optical component suppliers.

Company-Specific Downside Risks

Change in relationship with any of the large customers could be detrimental to financials. The top customers for Lumentum, like Google, account for a large percentage of total revenue, which creates customer concentration risk from a change in relationship with any of the top customers. While recent and future acquisitions should reduce the customer concentration risk, we believe a change in relationship with any of the big customers would have negative implications to our earnings forecasts for Lumentum.

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Lumentum: Summary of Financials

Income Statement - Annual	FY25A	FY26A	FY27E	FY28E	FY29E
Revenue	**1,645**	**3,014**	**6,360**	**9,774**	**12,604**
COGS	(1,074)	(1,627)	(3,047)	(4,454)	(5,512)
Gross profit	**572**	**1,387**	**3,313**	**5,321**	**7,092**
SG&A	(155)	(185)	-	-	-
Adj. EBITDA	**264**	**1,025**	**2,973**	**4,938**	**6,591**
D&A	(104)	(128)	(254)	(391)	(504)
Adj. EBIT	**160**	**897**	**2,718**	**4,547**	**6,087**
Net Interest	15	40	80	80	80
Adj. PBT	**175**	**937**	**2,798**	**4,627**	**6,167**
Tax	(29)	(155)	(478)	(809)	(1,068)
Minority Interest	-	-	-	-	-
Adj. Net Income	**146**	**782**	**2,320**	**3,818**	**5,099**
Reported EPS	2.06	8.68	22.75	37.00	48.70
Adj. EPS	**2.06**	**8.68**	**22.75**	**37.00**	**48.70**
DPS	**-**	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-	-
Shares outstanding	71	90	102	103	105

Balance Sheet & Cash Flow Statement	FY25A	FY26A	FY27E	FY28E	FY29E
Cash and cash equivalents	521	2,044	3,284	6,364	10,707
Accounts receivable	250	520	1,039	1,504	2,019
Inventories	470	692	1,313	1,833	2,144
Other current assets	840	1,424	2,564	3,548	4,374
Current assets	**1,717**	**4,162**	**6,543**	**10,606**	**15,776**
PP&E	726	1,159	1,353	1,518	1,717
LT investments	-	-	-	-	-
Other non current assets	714	917	917	917	917
Total assets	**4,219**	**7,308**	**9,883**	**14,111**	**19,479**
Short term borrowings	11	1,597	1,597	1,597	1,597
Payables	225	567	778	1,086	1,270
Other short term liabilities	157	316	361	463	548
Current liabilities	**393**	**2,481**	**2,736**	**3,146**	**3,415**
Long-term debt	2,563	41	41	41	41
Other long term liabilities	2,691	183	183	183	183
Total liabilities	**3,084**	**2,664**	**2,919**	**3,329**	**3,598**
Shareholders' equity	1,135	4,644	6,964	10,782	15,881
Minority interests	-	-	-	-	-
Total liabilities & equity	**4,219**	**7,308**	**9,883**	**14,111**	**19,479**
BVPS	**16.42**	**62.44**	**81.93**	**126.85**	**186.84**
y/y Growth	*15.4%*	*280.2%*	*31.2%*	*54.8%*	*47.3%*
Net debt/(cash)	2,053	(406)	(1,647)	(4,726)	(9,069)
Cash flow from operating activities	**126**	**(19)**	**1,689**	**3,635**	**5,046**
o/w Depreciation & amortization	104	128	254	391	504
o/w Changes in working capital	(315)	(84)	(885)	(574)	(557)
Cash flow from investing activities	**(84)**	**(648)**	**(448)**	**(556)**	**(703)**
o/w Capital expenditure	(231)	(412)	(448)	(556)	(703)
as % of sales	*14.0%*	*13.7%*	*7.1%*	*5.7%*	*5.6%*
Cash flow from financing activities	**42**	**2,190**	**0**	**0**	**0**
o/w Dividends paid	-	-	-	-	-
o/w Net debt issued/(repaid)	-	-	-	-	-
Net change in cash	**84**	**1,523**	**1,241**	**3,079**	**4,343**
Adj. Free cash flow to firm	**(104)**	**(431)**	**1,241**	**3,079**	**4,343**
y/y Growth	*(2.9%)*	*312.6%*	*(388.0%)*	*148.2%*	*41.0%*

Income Statement - Quarterly	1Q27E	2Q27E	3Q27E	4Q27E
Revenue	**1,251**	**1,508**	**1,704**	**1,897**
COGS	(612)	(734)	(813)	(887)
Gross profit	**640**	**773**	**891**	**1,010**
SG&A	-	-	-	-
Adj. EBITDA	**551**	**685**	**809**	**928**
D&A	(50)	(60)	(68)	(76)
Adj. EBIT	**501**	**625**	**740**	**852**
Net Interest	20	20	20	20
Adj. PBT	**521**	**645**	**760**	**872**
Tax	(86)	(107)	(133)	(152)
Minority Interest	-	-	-	-
Adj. Net Income	**435**	**538**	**627**	**719**
Reported EPS	4.27	5.27	6.15	7.05
Adj. EPS	**4.27**	**5.27**	**6.15**	**7.05**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	102	102	102	102

Ratio Analysis	FY25A	FY26A	FY27E	FY28E	FY29E
Gross margin	34.7%	46.0%	52.1%	54.4%	56.3%
EBITDA margin	16.1%	34.0%	46.7%	50.5%	52.3%
EBIT margin	9.7%	29.8%	42.7%	46.5%	48.3%
Net profit margin	8.9%	26.0%	36.5%	39.1%	40.5%
ROE	14.0%	27.1%	40.0%	43.0%	38.2%
ROA	3.6%	13.6%	27.0%	31.8%	30.4%
ROCE	3.7%	15.0%	30.3%	35.7%	33.6%
SG&A/Sales	9.4%	6.1%	-	-	-
Net debt/equity	1.8	NM	NM	NM	NM
P/E (x)	399.2	94.6	36.1	22.2	16.8
P/BV (x)	50.0	13.1	10.0	6.5	4.4
EV/EBITDA (x)	313.8	80.9	27.9	16.8	12.6
Dividend Yield	-	-	-	-	-
Sales/Assets (x)	0.4	0.5	0.7	0.8	0.8
Interest cover (x)	-	-	-	-	-
Operating leverage	(10494.0%)	553.1%	182.9%	125.3%	117.0%
Revenue y/y Growth	21.0%	83.2%	111.0%	53.7%	28.9%
EBITDA y/y Growth	156.7%	287.8%	189.9%	66.1%	33.5%
Tax rate	16.5%	16.5%	17.1%	17.5%	17.3%
Adj. Net Income y/y Growth	391.3%	434.4%	196.6%	64.6%	33.6%
EPS y/y Growth	367.0%	322.1%	162.2%	62.7%	31.6%
DPS y/y Growth	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Jun. o/w - out of which

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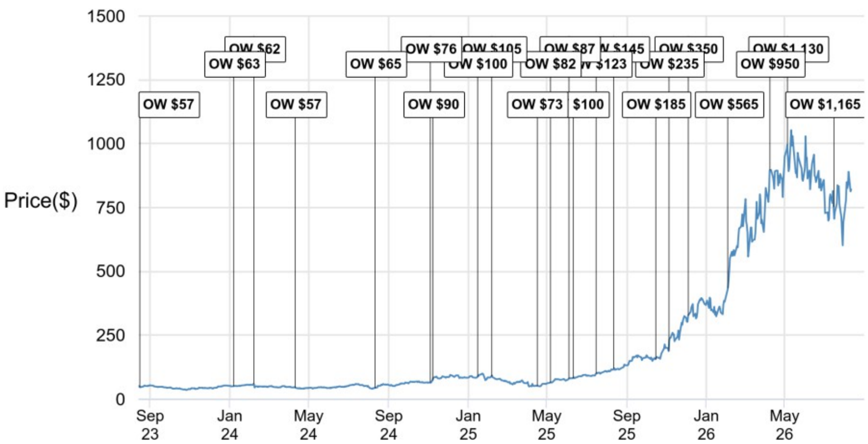
Lumentum (LITE, LITE US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 06, 2015. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
17-Aug-23	OW	46.81	57
08-Jan-24	OW	50.47	63
08-Feb-24	OW	58.77	62
11-Apr-24	OW	45.34	57
12-Aug-24	OW	43.25	65
04-Nov-24	OW	65.35	76
08-Nov-24	OW	73.64	90
16-Jan-25	OW	88.40	100
06-Feb-25	OW	89.19	105
17-Apr-25	OW	52.21	73
07-May-25	OW	64.42	82
05-Jun-25	OW	80.28	87
12-Jun-25	OW	82.36	100
17-Jul-25	OW	99.63	123
13-Aug-25	OW	119.66	145
16-Oct-25	OW	156.57	185
05-Nov-25	OW	188.36	235
05-Dec-25	OW	327.85	350
04-Feb-26	OW	435.10	565
09-Apr-26	OW	896.02	950
06-May-26	OW	994.56	1,130
16-Jul-26	OW	752.00	1,165

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
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Completed 12 Aug 2026 03:16 AM EDT

Disseminated 12 Aug 2026 03:16 AM EDT